Public Competition Assessment

11 February 2025

Louis Dreyfus Company Melbourne Holdings Pty Ltd - proposed acquisition of Namoi Cotton Limited

The ACCC's decision

1. On 1 August 2024 the ACCC announced its decision not to oppose the proposed acquisition by Louis Dreyfus Company Melbourne Holdings Pty Ltd (**LDC Melbourne**) of Namoi Cotton Limited (**Namoi**) (the **proposed acquisition**) after accepting a court-enforceable section 87B undertaking (the **Undertaking**).

2. The Undertaking requires:

    - the divestment of a shareholding interest in ProClass Pty Ltd (**ProClass**); and
    - the termination of a joint venture agreement with WANT Cotton Pty Ltd (**WANT**).

3. The ACCC considered that the proposed acquisition, in the absence of the Undertaking, would be likely to substantially lessen competition in the supply of cotton ginning services in the north of Western Australia and the Northern Territory, and the supply of cotton lint classing services in Australia, in contravention of section 50 of the *Competition and Consumer Act 2010* (the **Act**). Section 50 of the Act prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.

4. The ACCC considers that the Undertaking sufficiently addresses the ACCC's competition concerns in this matter such that the proposed acquisition is unlikely to contravene section 50 of the Act.

5. The ACCC considered the competitive effects of the proposed acquisition in the following markets:

    - the market for the supply of ginning services in the north of Western Australia and the Northern Territory;

- the market for the supply of cotton lint classing services in Australia;

- the market for the acquisition and marketing of cotton lint and cottonseed from separate cotton growing regions; and

- the market for the supply of warehousing services for cotton to be exported out of the Port of Brisbane.

6. This Public Competition Assessment outlines reasons for the decision by the ACCC not to oppose the proposed acquisition, taking into account the Undertaking.

7. Please note that this and other public competition assessments are subject to the following qualifications:

   - The ACCC considers each transaction on a case-by-case basis and so the analysis and decision outlined in one assessment will not necessarily reflect the ACCC's view of another transaction.

   - As assessments are relatively brief and do not refer to confidential information, assessments do not necessarily set out all of the issues and information considered by the ACCC.

The parties and the transaction

The acquirer: LDC Melbourne

8. LDC Melbourne is the holding company for Louis Dreyfus Company's subsidiaries in Australia. For the purposes of this Public Competition Assessment, a reference to **LDC** includes a reference to any or all of LDC Melbourne, Louis Dreyfus Company or their related bodies corporate.

9. In Australia, LDC operates in the origination, ginning, classing, storage, and trading of cotton lint and cottonseed as well as the merchandising, storage and handling of grains and oilseeds.

10. LDC operates 3 cotton gins located in Emerald and Dalby (Queensland) and Moree (NSW). It supplies cotton warehousing and logistics services with facilities in Dalby and the Port of Brisbane (Queensland) and Moree (NSW).

11. LDC has a joint venture with WANT for the operation and management of the WANT gin located near Katherine (NT). This gin began operating in May 2024.

12. LDC also holds a 20% interest in ProClass, which supplies cotton lint classing services.

The target: Namoi

13. Namoi is an ASX-listed company with business activities in ginning, cotton lint classing through its ownership of Australian Classing Services Pty Ltd (**ACS**), as well as cottonseed and cotton lint acquisition and marketing (merchant services) and warehousing and logistics services, through its joint ventures.

14. Namoi operates 10 cotton gins at 9 sites across NSW and Queensland. It is also involved in a joint venture with the Wathagar Ginning Company, with a cotton gin located in the Gwydir Valley (NSW), and a joint venture with the Moomin Ginning Company, with a cotton gin located in the Lower Namoi Valley (NSW).

15. Namoi has an approximate 17% interest in the Kimberley Cotton Company (**KCC**), which will operate a cotton gin in Kununurra (WA). This cotton gin is due to be completed in July 2025.

16. LDC has two joint venture arrangements in place with Namoi - the Namoi Cotton Alliance (**NCA**), and the Namoi Cotton Marketing Alliance (**NCMA**). The NCA stores and transports cotton lint bales through its warehousing facilities. It has warehouse facilities in Wee Waa, Warren and Goondiwindi. The NCMA is involved in the trading and marketing of cotton lint. Namoi exclusively supplies all cotton lint bales acquired by it to the NCMA; and the NCMA exclusively supplies its services to Namoi.

The proposed acquisition

17. LDC Melbourne proposes to acquire Namoi by way of an off market takeover offer to acquire all of the fully paid ordinary shares of Namoi which LDC does not already own. Louis Dreyfus Company Asia Pte. Ltd. held approximately 17% of the shareholding in Namoi at the commencement of the ACCC's review.

Market inquiries

18. The ACCC conducted market inquiries with a range of industry participants, including competitors, potential competitors, customers, industry bodies and other interested parties. Submissions were sought in relation to the potential competition issues arising from the proposed acquisition. The ACCC also conducted market consultation on a public summary of the Undertaking. The ACCC also obtained confidential information and documents from the merger parties and interested parties.

Statement of Issues

19. On 16 May 2024, the ACCC published a Statement of Issues identifying a number of preliminary competition concerns. In the Statement of Issues, the ACCC stated its preliminary view that the proposed acquisition would be likely to reduce competition and increase prices due to the following issues of concern:

    - the proposed acquisition would result in a loss of competition for the supply of ginning services to growers in the north of Western Australia and the Northern Territory, given that LDC would be involved in the management and operation of both gins in this region;

    - the proposed acquisition would result in a loss of competition for the provision of cotton lint classing services, given that post acquisition LDC would hold a 20% interest in ProClass as well as 100% of ACS, which together currently class more than 80% of all cotton lint in Australia;

- the proposed acquisition may provide LDC with the ability and incentive to leverage its position in cotton ginning to foreclose or frustrate competing cotton lint and/or seed merchants. LDC may subsequently be able to reduce the price it pays to growers for cotton lint and/or seed; and

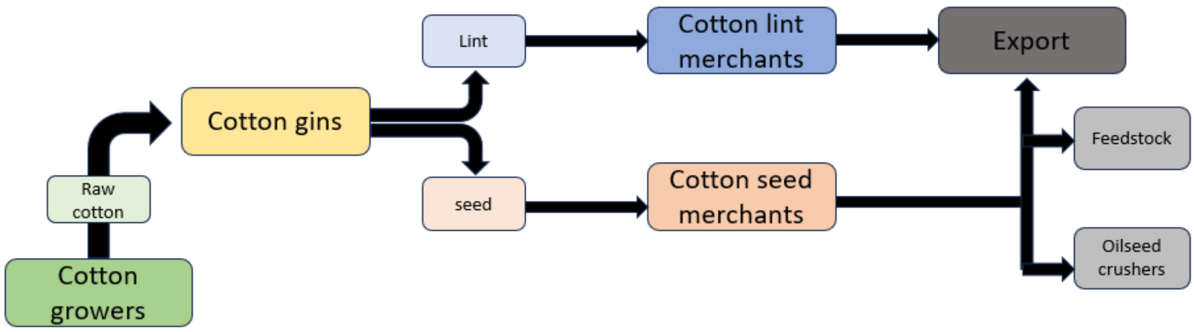
- the proposed acquisition may result in LDC having the ability and incentive to foreclose third-party access to its warehousing services for the export of cotton out of the Port of Brisbane. This may have the effect of substantially lessening competition in the acquisition of cotton lint, given that warehousing services are a critical requirement for competing cotton merchants.

Industry background

Australian cotton production and supply chain

20. **Figure 1** below provides a basic overview of the cotton supply chain in Australia.

Figure 1: Basic cotton supply chain in Australia



21. As shown above, cotton is ginned then the lint and seed are sold to merchants for use domestically or for export. There are approximately 20 cotton lint and/or seed merchants in Australia, many of which are vertically integrated, including:

- LDC and NCMA

- Australian Food and Fibre (AFF) – which supplies ginning services, cotton lint classing services, warehousing and acquires and markets cotton lint and cottonseed;

- Brighann – which supplies ginning services, warehousing and acquires and markets cotton lint and cottonseed; and

- Olam (Queensland Cotton) – which supplies ginning services, cotton lint classing services (through a 20% share in ProClass), warehousing and acquires and markets cotton lint and cottonseed.

Cotton growing and transportation

22. Cotton is grown in NSW, Queensland and, more recently, in the north of Western Australia and the Northern Territory. There are around 1500 cotton farms in Australia, ranging from large corporations to small individual farmers. Due to variable weather conditions, cotton production figures in Australia can vary significantly, ranging from 0.5 million bales to 6 million bales per annum. In the 2023/24 season, the vast majority of cotton was grown in NSW (~319,000 ha) and Queensland (136,650 ha), with a small crop in the Northern Territory (13,075 ha) and Western Australia (1,800 ha).[1]

23. Cotton is planted in spring and harvested in autumn. Raw cotton is packed into modules or round bales on the farm after harvesting and then transported to cotton gins. Raw cotton is generally transported using 2,400kg round modules (around 4.2 bales per round).

Cotton ginning

24. Once the raw cotton is transported to a cotton gin, the ginning process separates cotton lint from cottonseed. Cotton gins are generally located in the cotton growing regions and serve the growers in those regions.

25. Growers will select a gin in their region to process their cotton. In some cases, the gin may be predetermined if a grower has entered into a bundled cotton lint forward contract with a vertically integrated merchant (a cotton merchant that also operates a cotton gin). It is typically the growers who are responsible for organising transport to the gin. Growers may transact with more than one gin to diversify risk.

26. Different types of contracts for ginning services are available to growers:

    - gross ginning contracts – the grower pays for the ginning services and retains title to the cotton lint and cottonseed;

    - gin for seed contracts – the price of cottonseed is offset against the cost of ginning services. The grower retains title to the cotton lint and sells the cottonseed to the ginner; and

    - gin for seed and lint contracts – the price of cotton lint and cottonseed is offset against the cost of ginning services.

Cotton lint classing

27. At the conclusion of the ginning process, samples are collected from each bale of cotton lint and sent for classing. Typically, the merchant nominates and pays its chosen classing house. Classing may be undertaken by a High Volume Instrument (**HVI**) machine or manually by a specially trained classer. Cotton lint prices are then based on the grade of the cotton determined via classing.

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[1] Cotton Australia, Annual Report 2023-24, accessed 2 October 2024, pp. 44-51.

Acquisition and marketing of cotton lint and cottonseed

28. There are different contract types for obtaining cotton lint and cottonseed between growers and merchants. In addition to bundled contracts, merchants can enter into contracts purely for the acquisition of the cotton lint or cottonseed (ex gin).

29. Cotton lint is traditionally sold from the gin either as a forward sale (before the quantity and quality of the cotton is known), or as a spot sale once it has been ginned and classed. Approximately 40-60% of Australian cotton lint is forward sold by growers ahead of planting and 10-30% is forward sold for the following crop year(s). Approximately 20-30% is sold on a spot basis.

Warehousing and export

30. Merchants take delivery of the bales of lint at the gin and organise delivery to warehouses and export ports. Some merchants have their own warehouses and logistics services, while others rely entirely on third-party logistics suppliers. Given merchants acquire bales from across growing regions, even those merchants with their own logistics capabilities may use third-party suppliers.

31. The key export channels for cotton are:

    - Port of Brisbane – usually cotton lint and cottonseed from central Queensland, Darling Downs, St George/Dirranbandi, Border Rivers and some volumes from the Gwydir Valley;

    - Port Botany (Sydney) – usually cotton lint and cottonseed from Namoi Valley, Macquarie Valley, Gwydir Valley and Bourke; and

    - Port of Melbourne – usually cotton lint and cottonseed from the Riverina, Bourke, and some volumes from Namoi Valley and Macquarie Valley.

32. Market feedback is that the Port of Darwin will likely be a future export channel for cotton grown in the north of Western Australia and the Northern Territory.

Areas of overlap

33. LDC and Namoi overlap in:

    - the supply of cotton ginning services in the north of Western Australia and the Northern Territory;

    - the supply of cotton lint classing services in Australia;

    - the acquisition and marketing of cotton lint and cottonseed in separate cotton growing regions; and

    - the supply of warehousing services for cotton being exported out of the Port of Brisbane.

Competition analysis

34. The ACCC considered competition effects in:

- the supply of cotton ginning services, including:
  - unilateral effects in the supply of ginning services in the north of Western Australia and the Northern Territory;
  - coordinated effects in the supply of ginning services in the north of Western Australia and the Northern Territory;
- vertical effects (potential foreclosure) in the acquisition of cotton lint and cottonseed in separate growing regions in Australia;
- unilateral effects in the supply of cotton lint classing services in Australia;
- coordinated effects in the supply of cotton lint classing services in Australia; and
- the supply of warehousing services for the export of cotton out of the Port of Brisbane.

Substantial lessening of competition in the supply of ginning services in the north of Western Australia and the Northern Territory

Market definition

35. LDC provides cotton ginning services from gins located in Queensland (Dalby and Emerald) and New South Wales (Moree). LDC also operates the WANT gin in Katherine, Northern Territory, which began operations in May 2024. Namoi operates a number of cotton gins in New South Wales and Queensland. Namoi also has a 17% interest in the KCC, which will operate a cotton gin in Kununurra, Western Australia, with construction expected to be completed in July 2025.

36. The ACCC considers there is a distinct market in the north of Western Australia and the Northern Territory for the supply of cotton ginning services. In defining the relevant market, the ACCC had regard to market feedback indicating that cotton growers tend to gin their cotton at gins within the region of their growing operations, due to the increased transport costs associated with transporting cotton over longer distances.

37. The ACCC's view is that the two gins in the north of Western Australia and the Northern Territory, located 500 kilometres apart, are likely to form a distinct ginning market given that the next closest cotton gin in Dalby is roughly 3,000 kilometres away. Market feedback and information from the merger parties indicates that the two gins will likely compete for cotton in the north of Western Australia. The ACCC notes that bio-security rules currently prevent the transport of raw cotton from the Northern Territory to Western Australia, however, there is no restriction on the transport of raw cotton from Western Australia into the

Northern Territory. Although the Kununurra gin will not be able to compete for volume from Northern Territory growers, both the Katherine and Kununurra gins will be able to compete for volume from Western Australian growers.

38. The ACCC does not consider gins in Queensland or New South Wales to be effective substitutes for the Katherine or Kununurra gins and did not consider those operations relevant to the assessment of competition effects in relation to the proposed acquisition.

Unilateral effects

39. The ACCC considers that the proposed acquisition is likely to substantially lessen competition for the supply of ginning services in the north of Western Australia and the Northern Territory, resulting in a reduction in competition in the supply of ginning services to growers in the region. In the absence of the Undertaking, post-acquisition, LDC would have interests in both the Katherine gin and the Kununurra gin.

40. The ACCC considers that as the operator of the Katherine gin and the Kununurra gin, LDC may have control or significant influence over the pricing decisions at both gins. Consequently, post-acquisition, LDC may likely have greater ability to unilaterally raise the ginning price at either gin. In the absence of the acquisition, the two gins would likely compete for Western Australian growers and LDC's ability to unilaterally raise the ginning price at the Katherine gin would likely be constrained by the independent operation of the Kununurra gin.

41. Post-acquisition, LDC would likely have a greater incentive to unilaterally raise ginning prices at the Katherine gin as doing so would increase its ginning profit. In the absence of the proposed acquisition, raising the ginning prices at the Katherine gin would likely result in some cotton being diverted to the Kununurra gin and LDC would not receive any of the profit associated with the diverted volume. In contrast, post-acquisition, through its ownership in Namoi, LDC would be able to receive a share of profits derived from the cotton volume diverted to the Kununurra gin. LDC is therefore more likely to have the incentive to unilaterally raise the ginning price at the Katherine gin under the proposed acquisition.

Coordinated effects

42. The ACCC is also concerned that there would likely be an increase in the risk of coordinated effects between the Katherine and Kununurra gins post-acquisition, resulting in higher ginning prices at both gins.

43. In circumstances where LDC operates both the Katherine and Kununurra gins but lacks the control or significant influence over pricing decisions at either gin, the ACCC is concerned that competitively sensitive information regarding the operation of each gin may be shared. This information exchange can enhance the ability of the two gins to coordinate their behaviour and make accommodating responses (e.g. raise ginning prices) faster and more precisely (e.g. closely match the price increase at the other gin).

44. For example, LDC may use its access to the sensitive information to pre-empt or appropriate the Kununurra gin's competitive business strategies for the benefit of the Katherine gin. If the Kununurra gin knows its effort to win demand can be immediately appropriated, it may see less value in taking competitive action in the first place, resulting in a lessening of competition.

Entry of competing gins is unlikely in the short to medium term

45. The ACCC considers that it is unlikely that, in the short to medium term, a new cotton gin will begin operating in Western Australia and the Northern Territory and effectively constrain the Katherine and Kununurra gins from increasing ginning prices.

46. Cotton gins are highly specialised infrastructure and require significant time, capital and expertise to establish. Market feedback indicates a new cotton gin may require up to $80 million in investment and could take between 2-3 years to establish.

47. The ACCC considers that there is also insufficient residual demand for additional suppliers of ginning services in the short to medium term to allow for profitable entry, given that cotton industry in Western Australia and the Northern Territory is still at an early stage of development. Consequently, there is unlikely to be an incentive for new entry in such circumstances where the volume of cotton produced does not generate sufficient returns for competing ginning operators to justify their entry.

Substantial lessening of competition in the supply of cotton lint classing services in Australia

Market definition

48. The ACCC considers there is a separate market for the supply of cotton lint classing services.

49. There are three classing houses in Australia. ProClass, supplies cotton lint classing services from its facility in Goondiwindi, Queensland. Namoi supplies cotton classing services through its ownership of ACS out of its facility in Wee Waa, NSW. ProClass and ACS together class over 80% of cotton lint produced in Australia. The remaining cotton lint produced in Australia is classed by AFF.

50. The ACCC considers that the market for supplying cotton lint classing services is a national market, as ProClass and ACS currently class cotton lint ginned at any gin in Australia.

Unilateral effects

51. The ACCC considers the proposed acquisition is likely to substantially lessen competition for the supply of cotton lint classing services in Australia, which may result in an increase in the price for cotton lint classing services or a reduction in service quality.

52. Market feedback and internal information indicate ACS competes against ProClass, with the main point of difference between the two classers being the use of visual classing for some characteristics of cotton lint, which is valued by some growers.

53. Post-acquisition, LDC would have a 20% interest in ProClass and 100% of ACS. The ACCC considers LDC's interests in both cotton lint classing suppliers would likely lead to a reduction in incentives to vigorously compete for customers.

54. The ACCC notes that with a shareholding of 20%, LDC may not have the ability to control or significantly influence prices of classing services provided by ProClass. However, the ACCC considers that LDC, through its 20% interest in ProClass, would capture some of the lost profits if customers switch to ProClass following a price increase at ACS. As such, LDC may be more incentivised to raise prices at ACS compared to the status quo.

Coordinated effects

55. The ACCC is also concerned that, even if LDC would not have control or significant influence of ProClass post-acquisition, the overlapping ownership by LDC in ProClass and ACS may still increase the risk of coordination between them, leading to higher prices or a reduction in service quality of classing services provided by both ProClass and ACS.

56. In particular, the ACCC is concerned that the overlapping ownership could lower the incentive for the two classers to compete as vigorously, enabling LDC to maximise its total classing profit. In addition, the ACCC is also concerned that the overlapping ownership could facilitate the flow of non-public competitively sensitive information that would lower the uncertainty associated with any tacit coordination between the two classers.

Alternative suppliers and barriers to entry

57. ProClass and ACS face limited competition from alternative suppliers of classing services. AFF is the only other supplier of cotton lint classing services in Australia and AFF does not currently supply classing services to third parties.

58. The ACCC considers barriers to profitably enter cotton classing are likely to be relatively high. This is due to the size of the incumbents and because cotton lint classing is a high volume, low margin service.

Foreclosure of rival merchants' access to cotton lint or cotton seed

59. The ACCC considers that, other than in the north of Western Australia and the Northern Territory discussed above, LDC is unlikely, post-acquisition to have significant market power in the supply of ginning services in any region of Australia. Accordingly, it is unlikely that LDC could foreclose competing merchants by restricting their access to cotton lint or cottonseed from gins LDC operates.

60. Market feedback and ginning data indicates that competing merchants are able to acquire cotton lint and cottonseed from multiple gins in Australia. Should LDC attempt to restrict competing merchants' access to ginned cotton lint and cottonseed, these merchants would likely switch away from gins operated by LDC and acquire cotton lint and cottonseed from alternative gins in each of the other regional markets for the supply of ginning services.

Foreclosure of access to warehousing services for cotton exported out of the Port of Brisbane

61. LDC supplies cotton warehousing and logistics services to itself and to third parties with facilities in Dalby (Qld), the Port of Brisbane (Qld) and Moree (NSW). Namoi, through the NCA, supplies cotton lint warehousing service to itself and to third parties from its facilities in Wee Waa and Warren (NSW) and Goondiwindi (Qld).

62. Cotton lint tends to be stored at facilities that are on the supply chain path to the relevant port of export, and there are distinct markets for the supply of cotton warehousing and logistics services for cotton to be exported out of each port in Australia.

63. The ACCC considers LDC and Namoi overlap in supplying warehousing and logistics for cotton lint being exported out of the Port of Brisbane. LDC's warehouses, and the NCA warehouse in Goondiwindi fall within this market.

64. The ACCC considers the proposed acquisition is unlikely to substantially lessen competition in the supply of cotton lint warehousing and logistics services. Post-acquisition, LDC would have an estimated market share of 30 to 40% for the supply of warehousing services for the export of cotton from the Port of Brisbane and market feedback suggests it will continue to be constrained by a number of other competitors.

Undertaking

65. In order to address the ACCC's competition concerns, LDC offered a court enforceable Undertaking pursuant to section 87B of the Act.

66. The Undertaking was accepted by the ACCC. A copy of the Undertaking is available on the ACCC mergers register and undertakings register. A brief summary of the Undertaking is set out below.

67. The Undertaking seeks to address the ACCC's competition concerns by placing obligations on LDC Melbourne and LDC Enterprises Australia Pty Limited (**LDC Enterprises**):

    - to divest LDC Enterprises' shareholding in ProClass (ProClass shareholding) in a manner that will maintain ProClass as a viable, effective, stand-alone, independent and long-term competitor in the market for the supply of cotton lint classing services in Australia;

- to terminate the WANT Joint Venture Agreement to ensure that the WANT gin will operate as a viable, effective, stand-alone, independent, and long-term competitor located in the market for the supply of ginning services in the north of Western Australia and the Northern Territory following the termination of the WANT JVA;

- to provide for supporting arrangements for the implementation of the above commitments and for the effective oversight of LDC's compliance with the Undertaking.

68. The ACCC considers that the implementation of the Undertaking will address its competition concerns with the proposed acquisition. In particular, the Undertaking will support the independent operation of ProClass and ACS, and the WANT gin operating as a competitor in the supply of cotton ginning services in the north of Western Australia and the Northern Territory.

Conclusion

69. Based on the above analysis, the ACCC considers that the proposed acquisition, in the absence of the Undertaking, would be likely to substantially lessen competition in the supply of cotton ginning services in the north of Western Australia and the Northern Territory, and the supply of cotton lint classing services in Australia.

70. However, the ACCC considers that the Undertaking given by LDC addresses its competition concerns such that the proposed acquisition of Namoi by LDC, taking the Undertaking into account, is not likely to have the effect of substantially lessening competition in any market.